

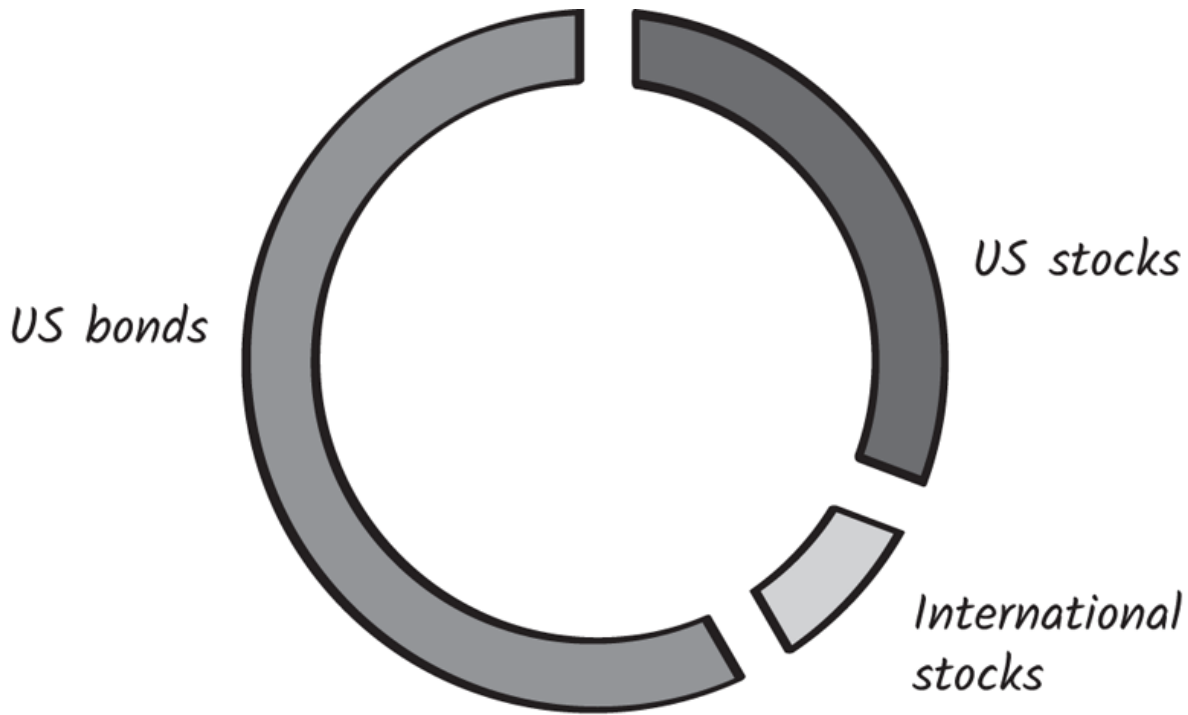


Figure 10.3: less risky lazy investor

But how do you decide what your risk profile is? Think about two things:

1. how old you are
2. how long you want to invest for.

A rough way to work this out as a lazy investor is to take the decade of your age and subtract it from 100. This is how much should go towards stocks.

So, for example, at 25 years old, $100 - 20 = 80$. This person's portfolio should be 80 per cent stocks and 20 per cent bonds.

But for someone who is 45, $100 - 40 = 60$; their portfolio may be 60 per cent stocks and 40 per cent bonds.

How long you are investing for is also important. Someone who is investing to buy a home in five years probably is better off being more bond heavy, whereas someone who is investing for 20 years to retire early could get away with more stocks than bonds, as they have more room to ride out the waves. You can also take the quiz in 'Putting it all together' to work out your personal risk profile.